

Since e-commerce was born, the business models used have also evolved and grown rapidly. What started as a simple channel for retailers to expand their reach to consumers and for airlines to sell tickets has grown into a stand-alone business sector where several businesses co-exist through a range of unique revenue models.

There are sites that offer auctions on branded items, sites that let you loan your second property to travellers, sites that have created an online marketplace and even sites that recommend what sites you should shop from. Online businesses need to be built for scale and while that is true, there are also sites that have created a niche for themselves online and become knowledge partners to the customer by offering specialist products and services.

An estimated 100 million Indians spend their time online consuming content and indulging themselves in commerce. Some of the models used by businesses to engage their consumers are:

Megamall – Your favourite departmental store but online

Marketplace – Where you know you will get a good deal, you only need to look

The Deal-Maker – When going to the same place for an expensive haircut is not your thing

Vertical Marketplace – The shopping mall for a specific segment

Going once, going twice, Auctioned! – For those that like the thrill of the chase

Community Buying – For when buying alone is just no fun (and expensive!)

The Aggregators – The ‘Know-All Aunty’ of the Internet

Facebook Commerce – To cater for the Facebook addicts of the world

The Single Brand Crossover – Your not-so-local brick store that now has a click store

We look now at how these models work and what makes them different from each other.

The Megamall

The online megamall concept is perhaps the oldest and till date most popular business model within the industry. Here, much like its traditional counterpart, businesses bet on the products their consumers would most like to buy and stock those in a virtual store. Customers then go online and purchase the products they like and pay for it using a variety of mediums such as credit cards, net banking or cash on delivery. These stores then have their own dispatch team that delivers the product to the customer in the promised time frame.